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Reserve Bank of India (Non-Banking Financial Companies – Credit Facilities) Directions, 2025 (Updated as on February 13, 2026)

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Introduction

Reserve Bank of India is statutorily mandated to operate the credit system of the country to its advantage. In pursuit of this mandate, the Reserve Bank encourages innovation in the financial systems, credit products and delivery mechanisms while ensuring orderly growth, financial stability and the protection of depositors' and borrowers' interest. With the progressive deregulation of credit, prudential norms primarily serve as regulatory safeguards. These norms, issued from time to time, provide guidance to regulated entities on the design and delivery of credit-related products and services. These Directions consolidate the instructions issued to various regulated entities on credit facilities.

Accordingly, in exercise of powers conferred by Sections 45JA, 45L and 45M of the Reserve Bank of India Act, 1934, Sections 30A and 32 of the National Housing Bank Act, 1987, and Section 6 of the Factoring Regulation Act, 2011 the Reserve Bank of India being satisfied that it is necessary and expedient in the public interest so to do, hereby issues these Directions hereinafter specified.

Chapter I - Preliminary

A. Short Title and Commencement

1. These Directions shall be called the Reserve Bank of India (Non-Banking Financial Companies – Credit Facilities) Directions, 2025.

2. These Directions shall come into effect immediately upon its issuance, unless indicated otherwise.

B. Applicability

3.

(1) These Directions shall be applicable to following Non-Banking Financial Company (hereinafter collectively referred to as 'NBFCs' and individually as an 'NBFC'), for all layers unless specified otherwise:

(i) NBFC-D registered with the RBI under the provisions of the RBI Act, 1934.

(ii) NBFC-ICC registered with the RBI under the provisions of the RBI Act, 1934.

(iii) NBFC-Factor registered with the RBI under the provisions of the Factoring Regulation Act, 2011.

(iv) NBFC-MFI registered with the RBI under the provisions of the RBI Act, 1934.

(v) NBFC-IFC registered with the RBI under the provisions of the RBI Act, 1934.

(vi) IDF-NBFC registered with the RBI under the provisions of the RBI Act, 1934.

(vii) HFC registered with the RBI under the provisions of the NHB Act, 1987.

(2) These Directions shall be partly applicable to the following NBFC as provided below:

(i) The prudential regulations prescribed in these directions shall not be applicable for ‘NBFCs-BL having customer interface but not availing public funds’; however conduct-related regulations prescribed in these directions shall be applicable for ‘NBFCs-BL having customer interface but not availing public funds’.

(ii) Paragraphs 105, 106 and 107 of Chapter VIII, but no other provision of these Directions, shall be applicable to CIC registered with the RBI under the provisions of the RBI Act, 1934.

(iii) Paragraph 21(2) of Chapter III, but no other provision of these Directions, shall be applicable to NBFC-P2P registered with the RBI under the provisions of the RBI Act, 1934.

(3) These Directions are not applicable for the following:

(i) MGC registered with RBI under the scheme of Registration of Mortgage Guarantee Companies.

(ii) NBFC-AA registered with the RBI under the provisions of the RBI Act, 1934.

(iii) SPD registered with the RBI as NBFCs under the provisions of the RBI Act, 1934.

(iv) NOFHC registered with the RBI as NBFC under the provisions of the RBI Act, 1934.

(v) 'NBFC not availing public funds and not having any customer interface'.

Note: The applicability under these Directions is in line with the regulatory structure for NBFCs as set out in Reserve Bank of India (Non-Banking Financial Companies – Registration, Exemptions and Framework for Scale Based Regulation) Directions, 2025.

C. Definitions

4.

(1) For the purpose of these Directions, following definitions shall apply:

(i) 'Actual Date of Commencement of Commercial Operations (actual DCCO)' means the date on which the project is put to commercial use and completion certificate/ provisional completion certificate / occupancy certificate (in case of CRE and CRE-RH projects) or its equivalent is issued to the concessionaire/ project developer / promoter.

(ii) 'Annual Percentage Rate' (APR) means APR as defined under the Reserve Bank of India (Non-Banking Financial Companies - Responsible Business Conduct) Directions, 2025.

(iii) 'Appointed Date' means the date, as defined in the concession agreement entered into between the concessionaire and the concession granting authority, on which the concession agreement comes into force in accordance with the terms outlined therein (applicable only in the case of infrastructure projects under Public Private Partnership (PPP) model).

(iv) 'Bullet Repayment Loans' means loans where both principal and interest are due for payment at the maturity of the loan.

(v) 'Collateral Security or Collateral' means an existing asset of the borrower pledged to the lender for availing and securing a credit facility extended by the lender to the borrower.

(vi) 'Consumption Loan' means any permissible loan that does not fit the definition of 'income generating loan' as defined subsequently.

(vii) 'Credit Event' in the context of project finance exposures, shall be deemed to have been triggered on the occurrence of any of the following:

(a) Default with any lender.

(b) Any lender(s) determines a need for extension of the original/extended DCCO, as the case may be, of the project.

(c) Expiry of original / extended DCCO, as the case may be.

(d) Any lender(s) determines a need for infusion of additional debt.

(e) The project is faced with financial difficulty as determined under the Part A of the Reserve Bank of India (Non-Banking Financial Companies – Resolution of Stressed Assets) Directions, 2025.

Explanation: An NBFC to which Part A of the aforesaid MD is not applicable shall also be guided by the same principles for the purpose of determining financial difficulty as laid under Part A.

(viii) 'Default Loss Guarantee (DLG)' means a contractual arrangement, called by whatever name, between the NBFC and another entity, under which the latter guarantees to compensate the NBFC, for the loss due to default up to a certain percentage of the loan portfolio of the NBFC,

specified upfront. Any other implicit guarantee of similar nature, linked to the performance of the loan portfolio of the NBFC and specified upfront, shall also be covered under the definition of DLG.

(ix) 'Digital Lending' means a remote and automated lending process, largely by use of seamless digital technologies for customer acquisition, credit assessment, loan approval, disbursement, recovery, and associated customer service.

(x) 'Digital Lending Apps/ Platforms' (DLAs) means a mobile and / or web-based applications, on a standalone basis or as a part of suite of functions of an application with user interface that facilitate digital lending services. DLAs shall include applications of the NBFC as well as those operated by Lending Service Provider (LSP) engaged by NBFC for extending any credit facilitation services in conformity with extant outsourcing guidelines issued by the Reserve Bank.

(xi) 'Date of Financial Closure' means the date on which the capital structure of the project, including equity, debt, grant (only in the case of infrastructure PPP projects) (if any), accounting for minimum 90 per cent of total project cost, becomes legally binding on all stakeholders.

Explanation: In the case of CRE-RH projects, lenders may reckon contingent sales receivables (if any) as part of promoters' contribution to the project.

(xii) 'Default' means non-payment of debt (as defined in Insolvency and Bankruptcy Code (IBC), 2016) when whole or any part or instalment of the debt has become due and payable and is not paid by the debtor.

(xiii) 'Extended DCCO': If the original DCCO is revised, then the revised DCCO shall be termed as the Extended DCCO.

(xiv) 'Housing Finance' means financing, for purchase / construction / reconstruction / renovation / repairs of residential dwelling units, which includes:

(a) Loans to individuals or group of individuals including co-operative societies for construction / purchase of new dwelling units.

(b) Loans to individuals or group of individuals for purchase of old dwelling units.

(c) Loans to individuals or group of individuals for purchasing old / new dwelling units by mortgaging existing dwelling units.

(d) Loans to individuals for purchase of plots for construction of residential dwelling units provided a declaration is obtained from the borrower that he intends to construct a house on the plot within a period of three years from the date of availing of the loan.

(e) Loans to individuals or group of individuals for renovation / reconstruction of existing dwelling units.

(f) Lending to public agencies including state housing boards for construction of residential dwelling units.

(g) Loans to corporates / Government agencies for employee housing.

(h) Loans for construction of educational, health, social, cultural or other Institutions / centres, which are part of housing projects and which are necessary for the development of settlements or townships (see note below).

(i) Note: Integrated housing project comprising some commercial spaces (e.g. shopping complex, school, etc.) can be treated as residential housing, provided that the commercial area in the residential housing project does not exceed 10 per cent of the total Floor Space Index (FSI) of the project.

(j) Loans for construction meant for improving the conditions in slum areas, for which credit may be extended directly to the slum-dwellers on the guarantee of the Central Government, or indirectly to them through the State Governments.

(k) Loans given for slum improvement schemes to be implemented by Slum Clearance Boards and other public agencies.

(l) Lending to builders for construction of residential dwelling units.

All other loans including those given for furnishing dwelling units, loans given against mortgage of property for any purpose other than buying / construction of a new dwelling unit(s) or renovation of the existing dwelling